Group

Content

E Corporation tax liabilities

5. The effect of a group corporate structure for corporation tax purposes

1. 75% Group

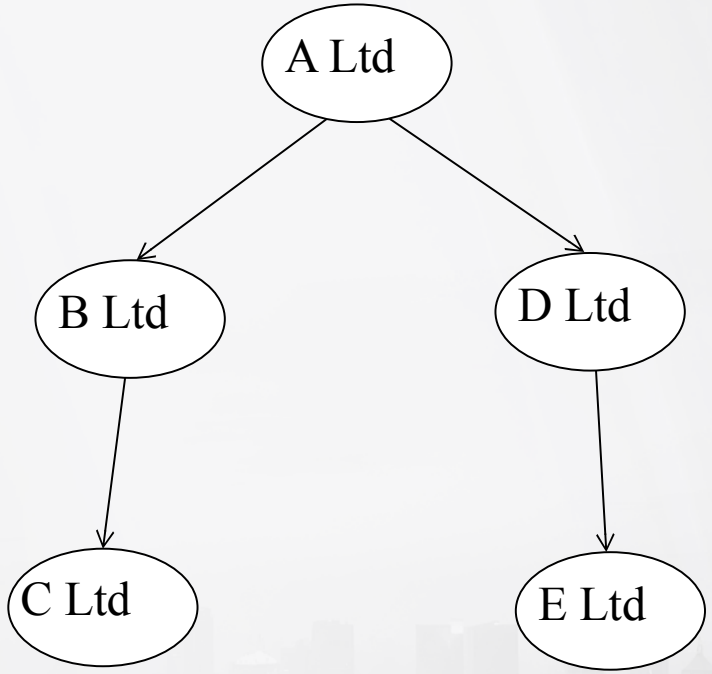
Definition

Direct control ≥ 75% and Indirect control ≥75%

Non-UK resident companies can help forming the group.

However, only UK resident companies can enjoy group tax advantages.

Lecture illustration



1.2 Current Period Group Relief

Surrendering company

Transferable maximum current period loss:

- Trading losses
- Excess qualifying charitable donations
- Excess property business losses

1.2 Current Period Group Relief

Claimant company

Group relief against its taxable total profit.

Maximum group loss relief:

Total Profit － Brought forward loss － Current loss(不管有没有抵扣过) － QCD

1.2 Current Period Group Relief

Maximum Current Period Group Relief is lower of:

- Surrendering company 可转让亏损最大值
- Claimant company 可接受亏损最大值

Group relief claims can be restricted.

Lecture example 1

Ada plc has 90% shareholding of Baey plc. Both companies are UK resident companies.

The results for the group for the year ended 31 March 2026 are as follows:

	Ada plc £	**Baey plc £**
Trading profit / (loss)	(5,000)	(20,300)
Property income	12,000	2,000
Chargeable gain	10,000	1,000
Qualifying charitable donations	(3,000)	(3,600)

Calculate the maximum current period group relief that Ada plc can claim from Baey plc.

1.3 Carry Forward Group Relief

Surrendering company

Transferable maximum carry forward loss:

Brought forward trading loss and property loss － Current period total profit

1.3 Carry Forward Group Relief

Claimant company

Group relief against its taxable total profit.

Maximum group loss relief:

Total Profit － Brought forward loss － Current loss (不管有没有抵扣过) － QCD

1.3 Carry Forward Group Relief

Maximum Carry Forward Group Relief is lower of:

- Surrendering company 可转让亏损最大值
- Claimant company 可接受亏损最大值

Group relief claims can be restricted.

Lecture example 2

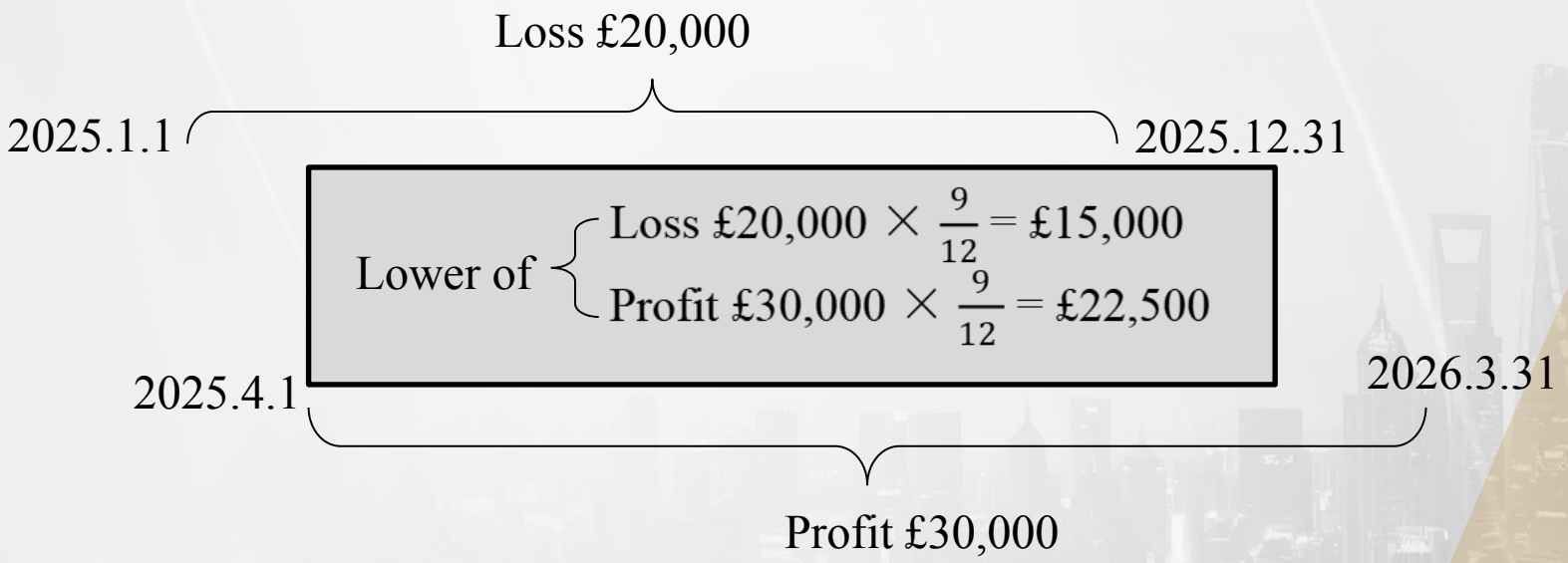
Amy plc has 80% shareholding of Betty plc. Both companies are UK resident companies.

The results for the group for the year ended 31 March 2026 are as follows:	Amy plc £	Betty plc £
Trading profit	68,000	80,000
Trading loss carried forward on 1 April 2025	(10,000)	(210,000)
Property income	4,000	1,500
Investment income	8,000	3,500

Calculate the maximum carry forward group relief that Amy plc can claim from Betty plc.

1.4 Non-coterminous accounting periods

Two companies' accounting periods do not match, profits and loss must be time apportioned to calculate the **overlap period**.



1.4 Non-coterminous accounting periods

Group relief is only available after the date that the company joins in the group.



2025.12.31

Join on 2025.6.1

1.4 Non-coterminous accounting periods

Group relief is only available before earlier of date of arrangements in place to sell the subsidiary and leaving date.

2025.12.31



Arrangements for sale
2025.5.1

Leaves on
2025.7.1

Lecture example 3

In the year ended 31 March 2026, A Ltd holds 90% D Ltd. D Ltd prepares account to 31 December every year.

A Ltd acquired 85% of the share capital of C Ltd on 1 January 2026 from an unrelated party.

A Ltd holds 80% E Ltd. On 1 October 2025, A Ltd sold E Ltd to an unrelated party. It was agreed with HMRC that sufficient arrangements were in place for E Ltd to leave the A Ltd group on 1 November 2025.

C Ltd and E Ltd prepare account to 31 March every year.

Lecture example 3

The following results about these four companies:

			£
A Ltd	Year ended 2026.3.31	Total profit	85,000
		QCD	5,000
D Ltd	Year ended 2025.12.31	Trading income	20,000
		Property loss	50,000
C Ltd	Year ended 2026.3.31	Trading loss	105,000
		Investment income	5,000
E Ltd	Year ended 2026.3.31	Trading loss	75,000

Lecture example 3

(a) What is the maximum group relief claim possible by A Ltd in respect of D Ltd's property loss?

(b) What is the maximum group relief claim possible by A Ltd in respect of C Ltd's trading loss?

(c) What is the maximum group relief claim possible by A Ltd in respect of E Ltd's trading loss?

1.5 Claims of group relief

A claim for group relief is made by claimant company.

Claim deadline: 2 years after the end of the accounting period in which claimant company makes profits.

Payment made by the claimant company for group relief cannot be deducted from total profits, and surrendering company need not to pay corporation tax on this payment.

2. Choices of loss relief

Those loss reliefs mentioned before and can be chosen and combined. When making a choice the following factors may be considered:

- The rate at which relief can be obtained.
  - Profits subject to the marginal rate of 26.5%.
  - Profits subject to the full rate of corporation tax of 25%.
  - Profits subject to marginal relief and the overall rate less than 25%.
  - Profits subject to small profits rate of 19%

2. Choices of loss relief

- Qualifying charitable donations

  Qualifying charitable donations may be wasted if using a loss relief against total profit of current accounting period or preceding 12 or 36 months.

- Timing of relief

  An earlier claim is generally preferable because it can help save tax sooner which improves cash liquidity.

2.1 Choice of loss relief - single company

Trading loss options:

Current period relief, carry back relief, carry forward relief, terminal trading loss relief.

Lecture example 4

Morlia Plc receives no dividends and has no associated companies. For the year ended 31 March 2025, Morlia Plc made a trading loss of £130,000. The company's total profits are:

Year end 31 March	2024 £	2025 £	2026 (Forecast) £
Total profits	110,000	120,000	310,000

Calculate the tax saving if Morlia Plc chooses the most beneficial way to claim the loss relief.

2.2 Choice of loss relief - group companies

Trading loss options:

Loss making company itself - current period relief, carry back relief, carry forward relief.

Group companies.

Lecture example 5

Tiger Ltd owns 100% of the ordinary share capital of both Rabbit Ltd and Elephant Ltd. The results of each company for the year ended 31 March 2026 are:

	Tiger Ltd £	Rabbit Ltd £	Elephant Ltd £
Trading profit/(loss)	(100,000)	350,000	52,000
Property business income	35,000	0	0

Tiger Ltd had dividends of £3,000 which are not from 51% group companies.

Using the trading loss in the most efficient manner, calculate The corporation tax liability of each of the group companies for the year ended 31 March 2026.

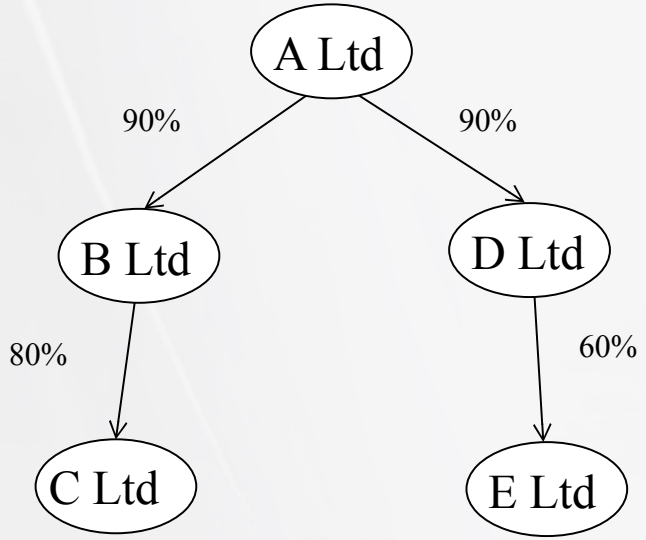
3. Chargeable gain group

Definition

Direct control ≥ 75% and Indirect control ＞ 50%

Non-UK resident companies can help forming the group. However, only UK resident companies can enjoy group tax advantages.

Lecture illustration



A Ltd, B Ltd, C Ltd and D Ltd is a capital gain group.

3.2 Effect of capital gains group

I. Intra-group transfer

One company transfers an asset to another group company in group.

This transfer is on no gain no loss basis.

Transferor's deemed proceeds = Transferor's acquisition cost + IA = Transferee's base cost

Lecture example 6

S&C Ltd owns 90% of Young Ltd. On 6 September 2025 S&C Ltd transferred a building to Young Ltd for £120,000. On this date its market value was £275,000 and it had cost S&C Ltd £140,000 on 30 April 1998.

The indexation factors are:

April 1998 to December 2017	0.710
April 1998 to September 2025	1.498

(a) What are the tax implications of this transfer?

(b) If Young Ltd sells the building for £300,000 to a third party in December 2025, what is the capital gain arising?

3.2 Effect of capital gains group

II. Matching group gains and losses

A company in a capital gain group can transfer whole or part capital gains or capital losses to another company of the group.

A company in a capital gain group can only transfer current period losses.

Capital losses brought forward cannot be transferred.

Only current period losses can be transferred, not brought forward losses.

Lecture illustration

During year ended 31 March 2026, Eva Ltd owns 90% of the ordinary share capital of Amc Ltd.

On 21 June 2025 Eva Ltd sold an office building realizing a chargeable gain of £9,600.

On 8 September 2025, Amc Ltd sold a factory realizing a capital loss of £2,800.

Amc Ltd also has brought forward capital losses of £3,200.

e.g.

Amc Ltd. → Eva Ltd.'s (£2,800)

Eva Ltd.'s → Amc Ltd £9,600

Amc Ltd.'s brought forward capital losses of £3,200 cannot be transferred.

3.2 Effect of capital gains group

III. Rollover relief

Companies in a group are treated as one unit for rollover relief.

One company in the group sells asset.

The other company in the group buys asset in 1 year before or 3 years after disposal.

Both of the two assets must be used for trading and be one of the following:

Land, buildings, fixed plant and machinery (not movable)

Indexed gain can be rolled over.

Lecture example 7

Y Ltd holds 85% shareholding of Z Ltd. Both companies are UK resident companies.

In July 2006, Y Ltd purchased an office building at a cost of £600,000 which was used in the business.

In October 2025, Y Ltd sold the office building for £1,500,000.

In April 2026, Z Ltd acquired a new factory at a cost of £1,400,000. The factory was used in business immediately.

Indexation factor is as follows:

July 2006 to Dec 2017 0.401

Calculate the gain chargeable for Y Ltd and the base cost of the new factory for Z Ltd.

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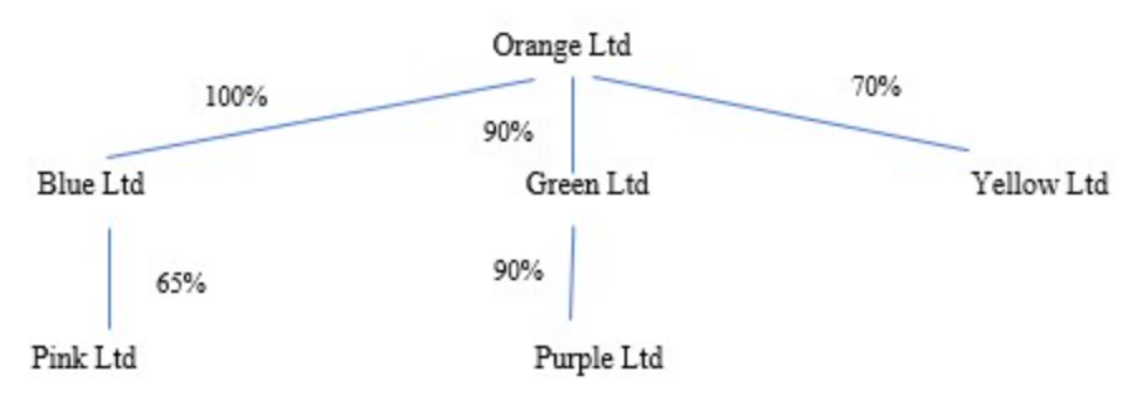
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Quizzes(self-practice)

Quiz 1



All of the companies are UK resident.

Which other companies are members of a 75% group relief group along with Orange Ltd and Blue Ltd?

1.A.Pink Ltd, Green Ltd and Yellow Ltd

2.B.Green Ltd and Purple Ltd

3.C.Pink Ltd, Green Ltd and Purple Ltd

4.D.Green Ltd, Purple Ltd and Yellow Ltd

Quiz 1-A

The correct answer is **B**.
Pink Ltd is not a member of the 75% group relief group as Orange Ltd only has an effective interest of 65%.
Yellow Ltd is not a member of the 75% group relief group as Orange Ltd only has an interest of 70%.

Quiz 2

Angus Ltd is a wholly own subsidiary of Haggis Ltd.
Haggis Ltd prepares account for the 10 months ended 31 October 2025 and incurs a trading loss of £40,000.
Angus Ltd has taxable total profits of £50,000 for the year ended 30 June 2025 and £55,000 for the year ended 30 June 2026.

What is the maximum amount of group relief that Haggis Ltd can surrender to Angus Ltd for the year ended 30 June 2026?

A.£16,000
B.£18,333
C.£24,000
D.£27,500

Quiz 2-A

The correct answer is **A**.
Haggis Ltd – accounting period 1 January 2025 to 31 October 2025 (10 months)
Angus Ltd – accounting periods 1 July 2024 to 30 June 2025 (6 months in common), and 1 July 2025 to 30 June 2026 (4 months in common).

Accounting period to 30 June 2026:

Haggis Ltd can surrender - 4/10 x £40,000 loss	£16,000
Angus Ltd can claim – 4/12 × £55,000 profit	£18,333
Maximum loss is therefore £16,000	

Quiz 3

A Ltd owns 100% of B Ltd. B Ltd sold a warehouse for £850,000 during the year ended 31 March 2026, which had originally been purchased in 2003 for £500,000. Allowable indexation is £150,000.
A Ltd bought a new factory for £900,000 on 31 May 2026.
What is the base cost of the factory for A Ltd?
A.£700,000
B.£200,000
C.£900,000
D.£550,000

Quiz 3-A

The correct answer is **A**.

	£
Proceeds	850,000
Less : cost	(500,000)
Unindexed gain	350,000
Less: indexation	(150,000)
	200,000
Less: rollover relief	(200,000)
	0

Base cost of factory:	£
Original cost	900,000
Less: rollover relief	(200,000)
	700,000



谢谢观看

THANK FOR WATCHING